

CAPITAL MARKETS

Lee & Associates' \$5M Loan Shows Time Is the Real Cost in Small-Balance Retail

A 30-year amortization on a \$5 million loan reveals how permanent capital buys optionality in a rate-sensitive market.

July 24, 2026 · Shopping Center Business · 4 min read

A source-grounded Light Tower Insight. The complete note follows.

The most revealing number in the \$5 million permanent loan for a 13,000-square-foot retail center in Rumford, Rhode Island, is not the loan amount. It is the 30-year amortization schedule.

A 30-year amortization on a small-balance retail acquisition loan is not a structural detail. It is a statement about what the lender is willing to underwrite: time. First Tech Federal Credit Union did not just lend against a Chipotle, a Jersey Mike's, and an AT&T. It lent against the assumption that those tenants will still be paying rent long after the rate environment that made this deal pencil has changed.

That is the hidden market signal in this transaction. In a capital market where most lenders are compressing amortizations to 20 or 25 years to reduce duration risk, a 30-year schedule is a deliberate bet on stability. It says the lender trusts the cash flow to persist longer than the typical underwriting horizon. It also says the borrower, Kempner Properties, was willing to pay for that time through a higher effective cost of capital over the life of the loan.

The reported facts are straightforward. Lee & Associates arranged a \$5 million permanent first mortgage loan through First Tech Federal Credit Union for the acquisition of 75 Newport Ave. in Rumford, about four miles east of Providence. Kempner Properties purchased the center for \$8.5 million. The seller was Horvath & Tremblay. The loan is non-recourse and carries a 30-year amortization. The property sits on nearly two acres and is leased to Chipotle Mexican Grill, Jersey Mike's Subs, AT&T, Wingstop, Salon Suites, and Nails & Spa.

The loan-to-value ratio is not disclosed, but \$5 million on an \$8.5 million purchase price implies roughly 59 percent leverage. That is conservative by historical standards for stabilized retail, but it is not the leverage that matters most here. What matters is the duration of the debt.

In a rising or uncertain rate environment, a 30-year amortization is a form of liquidity insurance. It lowers the periodic debt service relative to a 20-year schedule, which improves debt-service coverage and gives the borrower more operating cash flow to manage vacancies, capital expenditures, or rent resets. For a small-balance retail asset with six tenants, none of which are investment-grade anchors,

that cushion is meaningful. The lender is effectively saying: we are willing to accept slower principal paydown in exchange for higher coverage today.

That trade-off reveals something about the lender's view of the asset. First Tech Federal Credit Union is not a national bank with a diversified CRE portfolio. It is a credit union, which means its cost of funds is typically lower than a bank's, but its risk appetite is narrower. A 30-year amortization on a \$5 million loan is a bet that this specific set of tenants will renew, that the Providence MSA will hold its retail demand, and that the borrower will not need to refinance into a worse rate environment a decade from now.

The borrower's calculus is different. Kempner Properties is buying time. At \$8.5 million, the basis is roughly \$654 per square foot. That is a defensible number for a fully leased retail center with credit tenants, but it leaves little room for error. If a tenant vacates, the debt service does not change. The 30-year amortization gives Kempner more operating margin to absorb a vacancy without triggering a cash-flow crisis. It also gives the sponsor more time to sell the asset before the loan matures, assuming the loan has a typical 10-year term with a balloon payment after the 30-year amortization period.

That is the real tension in this deal. The loan is permanent in name, but the amortization schedule is a clock. Every month of principal paydown reduces the balloon risk at maturity, but the borrower is paying for that reduction through interest costs that accumulate over a longer period. The lender is earning a spread on a longer-duration asset, which carries more interest-rate risk if rates rise further. Both parties are making a wager on the path of rates and the persistence of tenant demand.

For the broader market, this transaction is a data point in a larger pattern. Small-balance retail financing is bifurcating. On one side, lenders are offering shorter amortizations and higher rates for assets with weaker credit profiles or shorter lease terms. On the other side, creditworthy sponsors with stabilized, multi-tenant retail centers are still able to secure long-duration debt at reasonable leverage. The difference is not the asset class. It is the quality of the cash flow and the lender's conviction that the cash flow will last.

Owners of small-balance retail should test whether their own assets can command a 30-year

amortization. If the answer is no, the gap between what the market will finance and what the sponsor needs is wider than the rate sheet suggests. That gap is not about price. It is about time.

SOURCES

— Shopping Center Business —

<https://shoppingcenterbusiness.com/lee-associates-arranges-5-million-in-financing-for-acquisition-of-retail-center-near-providence-rhode-island/>

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